

ECO401– INTRODUCTION TO ECONOMICS

IMPORTANT FORMULAS

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ECO401 Formulae

1- Total cost

$$TC = FC + VC$$

2- Average cost or Average total cost

$$AC \text{ or } ATC = AVC + AFC$$

3- Average variable cost

$$AVC = TVC / Q$$

4- Average fixed cost

$$AFC = TFC / Q$$

5- Marginal Cost

$$MC = \Delta TC / \Delta Q$$

6- Total Revenue

$$TR = P \times Q$$

7- Average Revenue

$$AR = TR / Q$$

8- Marginal Revenue

$$MR = \Delta TR / \Delta Q$$

9- Profit

$$\pi = TR - TC$$

10- Slope of Average Revenue

$$AR \text{ slope} = dAR / dQ$$

11- Slope of Marginal Revenue

$$MR \text{ slope} = dMR / dQ$$

12- Marginal Revenue Product of Labor

$$MRP_L = MPP_L \times MR$$

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- 13- The value of marginal Product of labor
 $VMR = MPP_L \times P_i$
- 14- Present Value
 $PV = \sum \left[\frac{X_i}{(1+r)^i} \right]$
- 15- Net Present Value
 $NPV = PV - \text{Purchase cost}$
- 16- GDP at factor price
 $\text{GDP at factor cost} = \text{GDP at market price} - \text{Indirect taxes}$
- 17- Net Domestic Product
 $NDP = \text{GDP} - \text{Depreciation Allowances}$
- 18- Gross National Product
 $GNP = \text{GDP} + \text{Net factor incomes from abroad}$
- 19- Net National Product
 $NNP = \text{GNP} - \text{Depreciation Allowance}$
- 20- GDP Deflator
 $\text{GDP deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}}$
- 21- Real GDP
 $\text{Real GDP}_{\text{Year } a} = \left(\frac{\text{Price Index}_{\text{base year}}}{\text{Price Index}_{\text{Year } a}} \right) \times \text{Nominal GDP}_{\text{Year } a}$
- 22- Macroeconomic Equilibrium (Keynesian sense)
 $S + T + M = I + G + X$
- 23- Disposal Income
 $Y_d = Y - T$

24- Consumption Function

$$C = a + b Y_d \quad \text{or} \quad C = a + b(Y - T)$$

25- Savings

$$S = Y_d - C$$

26- Marginal Propensity to consume

$$MPC = 1 - MPS \quad \text{or} \quad MPC = \Delta C / \Delta Y_d$$

27- Average Propensity to consume

$$APC = 1 - APS \quad \text{or} \quad APC = C / Y_d$$

28- Average Propensity to save

$$APS = 1 - APC \quad \text{or} \quad APS = S / Y_d$$

29- Marginal Propensity to save

$$MPS = 1 - MPC \quad \text{or} \quad MPS = \Delta S / \Delta Y_d$$

30- Saving Function

$$S = c + d(Y_d)$$

31- The Aggregate Demand or expenditure Function

$$AD = C + I + G + (X - M)$$

32- Keynesian Multiplier

$$K = \frac{1}{1 - b}$$

33- Accelerator

$$a = \frac{I}{(\Delta Y)} \quad \text{or} \quad \frac{\Delta K}{\Delta Y}$$

34- measurement of Inflation

$$\frac{(P_t - P_{t-1})}{P_{t-1}} \times 100$$

-: ECO401 subjective :-

- Q1- Highlight two conditions of price discrimination pg#78 Lec 21
- Q2- Find total revenues (2 questions) Lec 17 pg#63
- Q3- Define philp curve with diagram pg#150 Lec 34
- Q4- calculate nominal domestic growth?
- Q5- marginal cost by saving of disposal income?
- Q6- Cost of Unemployment (voluntary content) pg#143 Lec 33
- Q7- AS (3 marks)
- Q8- Price discrimination (3 marks) pg#78 Lec 21
- Q9- Factors that increase US dollars in Pakistan (3 marks) pg#154 Lec 36
- Q10- Discrimination types (5 marks) pg#78 Lec 21
- Q11- Find Profit (5 marks) pg#164 Lec 17
- Q12- Marginal propensity (5 marks) pg#126 Lec 30
- Q13- Enlist injection & withdrawal pg#124 Lec 30
- Q14- Depreciation & Appreciation of currency (3 marks) pg#154 Lec 36
- Q15- Long-run average cost graph (3 marks) pg#62, 61 Lec 16
- Q16- Government optimal role under classical model (3 marks) pg#103 Lec 25
- Q17- Find per capita income (5 marks) pg#163 Lec 38
- Q18- Find Savings (5 marks) pg#126, 127 Lec 30
- Q19- PV find (5 marks) pg#94 Lec 24
- Q20- Three characteristics of Monopolistic competition (5 marks) pg#79 Lec 21
- Q21- Frictional & structural unemployment pg#143 Lec 33
- Q22- Current Account components pg#156 Lec 36
- Q23- Low investment & High unemployment in Keynes theory pg#105 Lec 25
- Q24- Find TR pg#63 Lec 17

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- Q25- Variable cost pg#60 Lec16
- Q26- Final & Intermediate goods pg#119 Lec28
- Q27- Briefly discuss the concept of full employment pg#104 Lec25
- Q28- Discuss the balance of payments, How it is determined, pg#152 Lec35
- Q29- Thrift, ~~etc~~ accelerator & multiplier effect? pg#133, 134, 135 Lec32
- Q30- Discuss any three determinants of consumption (5 marks) pg#126 a+b+d?
- Q31- Draw AR curve in monopoly (3 marks) pg#74 Lec19
- Q32- Pure inflation (3 marks) pg#148 Lec34
- Q33- What is actual & potential GDP? (3 marks) pg#161 Lec38
- Q34- What is marginal product of labor in perfect competition? (3 marks)
- Q35- How monopolist retain ~~there~~ its monopoly (5 marks) pg#74 Lec19
- Q36- Macroeconomic equilibrium in leakage & injection with graph? pg#131 Lec31
- Q37- Difference b/w voluntarily & involuntarily unemployed people? pg#143 Lec33
- Q38- Calculate GNP & NNP & aggregate expenditure pg#120 Lec29 ; pg#129 Lec31
- Q39- Keynes paradox of thrift pg#134 Lec32
- Q40- Inflation results in corruption & inefficiency in some country explain? (5 marks)
- Q41- Invisible hand concept? pg#103 Lec25

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35- Quantity Theory of money
 $QTM \Rightarrow MV = PQ$

36- Real Exchange Rate
 $RER = \left(\frac{P_f}{P_d} \right) \times NER$

37- Output Gap
 $y - y^*$

38- Percentage of GDP gap
 $\% \text{ of GDP gap} = \frac{\text{Actual GDP} - \text{Potential GDP}}{\text{Potential GDP}}$

39- Real GDP
 $\text{Real GDP} = \text{Nominal GDP} - \text{Inflation}$

40- Growth rate of per capita income
 $gy = gY - gL$

REMEMBER IN PRAYERS
KEEP SMILING
SAY NO TO CURRUPTION
HELP TO OTHERS

Regards,
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